SSLC ACQUISITION

Board Package — October 12, 2026

DRAFT — NEGOTIATING TERMS — CONFIDENTIAL

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EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

October 10, 2026

CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to vote on five motions today.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Motion 1: Approve Exos offer (Option B) + §3 exclusivity (90-day) + ROFR on asset sale
Motion 2: Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
Motion 3: Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
Motion 4: Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)
Motion 5: Resolve related-party balances (4/30/2026 entries) — independent accountant; Microcosm/Wertz directors abstain

These motions protect every SSLC holder outside the Microcosm/Wertz group, including Exos (18%), by correcting the books before any payout.

Ownership: Jim Wertz held most of SSLC until Exos's ~10% purchase, then Exos's ~8% follow-on to keep SSLC cash-flow positive.

Where SSLC Stands Today

$590K

Cash at 10/11

One IM payment 10/7

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.

SSLC Capital & Debt: What's on the Books

WHAT INVESTORS PAID IN

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in capital	**$1,014,465**
Exos: 18.06% → $789,572	**~78% of above**
Accum. deficit (thru FY26)	**−$2,571,013**
FY27 YTD net income (10/11)	**+$112,666**
Total equity (10/11/2026)	**−$1,443,882**

WHAT SSLC OWES (10/11/2026)

Loans & notes (total)	**$1,027,783**
Due to Microcosm (Acct 2385)	**$451,429**
Notes Payable – Bookstore	**$320,582**
SBA EIDL (Acct 2712)	**$132,072**
Wertz loan (Acct 2714)	**$92,500**
Exos loan (11%; stands)	**$31,200 (~$38K+int)**
Total liabilities (10/11)	**$1,296,521**

Exos loan reconciled: $60K→$31.2K (11% int.); records match. $30K prior loan→5,464 shares (incl. in $790K paid-in).

Exos Assessment (Motions 2 & 3) — As Booked vs. Adjusted

pending reconciliation

Line item	As booked		Adjusted	Basis
Due to Microcosm	$451K	-	**~$100K**	*Rent+util credit ~$351K (Jul '24-Aug '26)*
Bookstore note	$321K	≥	$224K	*$97K interest capitalized 4/30/2026*
Billed ahead (est.)	$942K	≥	~$100-250K	*Start-billings uncleared at ship (Motion 3)*
Total equity	-$1.44M	≥	**~-$1.09M+**	*Credit alone; more if billed-ahead corrected*
		>		

The April 30, 2026 Entries: As Found and What They Cost Holders

Per SSLC's QuickBooks, 4/30/2026

$426,687 — **Microcosm A/P reclassified to Due to Microcosm**

Vendor invoices become a fixed insider balance due at close

$97,302 — **Interest capitalized into the Bookstore note**

Increases the payout to Microcosm Astronautics Books

$812,699 — **SSLC loans to Microcosm fully netted against:**

$294,499 loan payable · $423,965 "reimbursables"
$61,290 "Judy's time" · $32,946 reimbursable = $518,201
No invoices or agreements provided for these offsets

Since Jul 2024: SSLC pays 100% of facility costs

Microcosm's ~$351K share (rent + utilities) has never been credited

Why the Board must review *(appearance, not intent)*

- Every entry favors Microcosm/Wertz-controlled entities and increases what they are paid at close.
- The entries were made under the direction of interested officers and were not approved by disinterested directors (Cal. Corp. Code §310).
- They were made while a director's right to inspect the books was outstanding (Bylaws Art. VII §4).
- They were booked while the acquisition was pending.
- Insider interest was capitalized while the one outside lender, Exos, went unpaid.

Together these create the appearance of self-dealing, which a buyer, fairness-opinion provider or court would question.

IMPACT ON SSLC HOLDERS

~46% of each dollar paid to insiders comes from holders outside the Microcosm/Wertz group

Step 1 — Facility credit + capitalized interest: **$448K total · Non-Wertz holders lose ~$208K (Conger ~$46K, Rufer ~$57K)**

Step 2 — + Unsupported offsets if unresolved: $967K total · Non-Wertz holders lose ~$449K (Conger ~$99K, Rufer ~$123K) · Microcosm would owe SSLC

Microcosm can resolve this before the vote by supporting Motion 5.

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
Working-capital bridge	**$500K**
① Cash at close — target by Feb 15th	**$3.86M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close (SSLC asset acquisition)	**$4.86M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low	Base	High	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr →$150K/yr →$750K total	$5.0M/yr →$250K/yr →$1.25M total	$6.0M+/yr →$300K/yr (cap) →$1.5M total	Annual FY27–FY31
M1 SSLC FY27 rev ≥$5.1M →$200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV flight tank set delivered & accepted by IM →$200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 SSLC annual rev ≥$10M →$250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 SSLC annual rev ≥$20M →$250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

Total Offer Value

③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.8M	$7.4M	$9.0M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.5M	$15.3M	$18.9M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③, not additive.

Offer Value as a Multiple of SSLC Revenue

FY26 actual: $1.925M | FY27 target: $5.1M

	vs. FY26 actual ($1.925M)	vs. FY27 target ($5.1M)
② At close: $4.86M	~2.5×	~0.95×
③ 5-year: $5.8M – $9.0M	~3.0–4.7×	~1.1–1.8×
④ Max $18.9M (held to 2031)	~9.8×	~3.7×

Declining this offer is a judgment that SSLC alone, without new capital, is more likely to create more than the $18.9M maximum this offer projects (if Exos stock is held to 2031). Not a guarantee; "projects" is the operative word.

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Exos Funding Commitments

$2.51M cash	at financing close (target Feb 15th)
SSLC transaction costs	at financing close (target Feb 15th)
Working-capital bridge $500K	at financing close (target Feb 15th)
$1.0M Exos stock (EAI units, Rule 504)	at financing close (target Feb 15th)
Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Feb 15th)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

Five motions today: approve offer + §3 exclusivity + ROFR → 90-day window → financing close target Feb 15th

Projected Shareholder Payout — Close Jan 15, 2027 (Base Case, Current Books)

Cash to Shareholders at Close

Exos cash purchase price	+$2,510,000
+ SSLC cash at close (est.; $590K on 10/11)	*+$675,000*
Subtotal inflows	**$3,185,000**
– SSLC loans & notes	($1,027,783)
– Other current liabilities (AP, accruals)	($148,738)
– Customer deposits (IM, transferred)	($120,000)
– Billed-ahead work, genuine (Exos est.)	($250,000)
– 5% escrow holdback (released 12 months)	($125,500)
Net cash distributable at close	**~$1.51M**
+ Exos stock (EAI units, Rule 504, 409A)	+$1,000,000
+ Escrow release at 12 months	+$126,000
+ Earn-outs base case (FY27–FY31)	+$2,525,000
~5-year total to SSLC shareholders	**~$5.16M**

What Shareholders Paid In vs. Will Receive

PAID-IN CAPITAL (per SSLC books)

Common stock	$1,010,423
Additional paid-in capital (APIC)	$4,042
Total paid-in capital	**$1,014,465**

Exos: $790,000 for 18.06% — recognized via $790K stake credit in price

All other holders: ~$224,000 combined for 81.94%

Invested largely 25+ yrs ago (per John Quinn; to be confirmed via stock ledger). Exos: 2021–2024.

PROJECTED RETURN (OTHER HOLDERS, 81.94%)

Cash + stock at close (est.)	~$2.5M
Total over 5 years incl. earn-outs	~$5.2M
Implied return on invested capital	**11× at close / 23× over 5**

⚠ NOT YET CREDITED TO SSLC HOLDERS

Microcosm's 50% facility costs, Jul 2024–Aug 2026: ~$351K
(rent ~$316K + utilities ~$35K). Not credited vs. $451K owed to Microcosm.
If applied: SSLC holders' cash at close ~$1.51M → ~$1.86M (base case).
'Due to Microcosm' falls to ~$100K.
Equity improves: -$1.44M to ~-$1.09M.

Why We Need the Stock Ledger (Motion 2)

- Books show $1,014,465 total paid-in; the stock ledger allocates it by shareholder.
- Ledger confirms cap structure: which shares were issued for cash vs. debt conversion.

Projection based on SSLC books 10/11/2026 + Exos offer terms. Low/high: net cash $1.28M–$1.74M; 5-yr $3.4M–$7.0M. Not a guarantee.

Board Motions

1 **Approve Exos's Offer, Confirm §3 Exclusivity and Grant a ROFR**

☐ Approve
☐ Decline

The Board approves the Exos offer (Option B terms), confirms Exos's 90-day §3 exclusivity under the May 2025 Asset Acquisition Agreement, and grants Exos a right of first refusal on any sale of SSLC's assets or a controlling interest.
ROFR term: 6 months from approval; auto-extends while a definitive APA is under negotiation.

2 **Grant Full Read-Only QuickBooks Online Access for Diligence**

☐ Approve
☐ Decline

Authorize all-access QB Online for John Quinn + one Exos finance reviewer.
Provide: stock ledger, cap table, subscription agreements, paid-in capital by shareholder.
Deadline: Oct 15, 2026. §1602 inspection right + AAA §4. NDA 7/27/2021.

3 **Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days**

☐ Approve
☐ Decline

Direct A La Carte Solutions + Singer Lewak / Welch & Co. to reconcile within 5 days:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Customer Deposits ($120,000).
- Clear start-billings on shipped tanks; post Jul–Sep 2026 revenue-recognition entries.
- Tank recon (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

4 **Consent to ERP/MRP & Inventory Evaluation (Separate Motion)**

☐ Approve
☐ Decline

Authorize Exos to use the QB data to evaluate compatible ERP/MRP and inventory systems.
Evaluation only; no implementation obligation. Confidential under the NDA.

Governance: John Quinn abstains on Motions 1-4 as an interested director; motions are decided by the disinterested directors.

Board Motions (continued)

5 Resolve Related-Party Balances (April 30, 2026 Entries)

☐ Approve
☐ Decline

The Board directs the following:

1. Treat the April 30, 2026 journal entries as disputed, pending independent review. Microcosm and the Bookstore (Microcosm Astronautics Books) shall provide invoice and agreement support for each netting offset and for the Bookstore and Wertz notes.

2. Credit Microcosm's share of SSLC's facility costs since July 2024 against the "Due to Microcosm" balance, unless a written agreement signed by disinterested directors provides otherwise.

3. No payment, netting, security interest, or further accrual of interest on the Microcosm, Bookstore, or Wertz balances without prior approval of the disinterested directors of SSLC.

4. An independent accountant chosen by the disinterested directors shall reconcile these balances and the AR Unbilled / Customer-Deposit accounts within 30 days.

Governance: Interested directors (J. Wertz, A. Wertz) abstain on Motion 5 (Cal. Corp. Code §310). John Quinn abstains on Motions 1–4 as an interested director. Motions are decided by the remaining disinterested directors.

Path to Close

1. **Board Votes — Five Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked today to vote on Motions 1–5: approving the Exos offer and granting exclusivity + ROFR (Motion 1), QB access (Motion 2), accounting correction (Motion 3), and ERP evaluation (Motion 4). Declining Motion 1 is a judgment that SSLC alone — without new capital — is more likely to create more than the $18.9M maximum this offer projects (if Exos stock held to 2031). Not a guarantee; "projects" is the operative word.

INTERNAL · DRAFT · NEGOTIATING TERMS · CEO / Board Eyes Only

EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

October 9, 2026 · Exos Aerospace Systems & Technologies, Inc.

1. What SSLC Holders Receive

Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close target Feb 15th (~Q1 FY27)
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
Working-capital bridge	$500K	$500K	$500K	Close
① Cash at close — target by Feb 15th	**$3,860K**	**$3,860K**	**$3,860K**	**Cash + costs + stake credit + WC bridge**
+ Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M)	$1,000K	$1,000K	$1,000K	EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close
② Total at financing close (SSLC asset acquisition)	**$4,860K**	**$4,860K**	**$4,860K**	**Target: Feb 15th**
Tank earn-out: 5% of SSLC's IM tank revenue/yr, cap $300K/yr, FY27–FY31	$750K	$1,250K	$1,500K	Single 5% rate; scenario = revenue SSLC achieves: Low $3M/yr → $150K/yr; Base $5M/yr → $250K/yr; High $6M+/yr → $300K/yr (cap)
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines	—	$200K	$200K	Pays at customer acceptance (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: 50% reduction in tank build cost (dome & build-process automation proven)	—	—	$200K	Pays when 50% cost reduction proven (est. FY27–FY28)
Exos stock earn-out at listing (on top of ~0.59% EAI up-front)	$0	$625K	$1,500K	Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%.
③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)	**$5,810K**	**$7,385K**	**$8,960K**	**FY27–FY31. HIGH < $10M target — not rebalanced.**
IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)	**$6.7M**	**$9.6M**	**$12.4M**	**Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.**
④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)	**$11.5M**	**$15.3M**	**$18.9M**	**Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.**

Earn-Out Targets: FY27–FY31

Earn-out	Target SSLC must hit	Low	Base	High	Pays
Tank earn-out 5% of IM tank revenue/yr,	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr → $150K/yr	$5.0M/yr → $250K/yr	$6.0M+/yr → $300K/yr	Annual, FY27–FY31

cap $300K/yr, FY27–FY31		→ $750K total	→ $1.25M total	(cap) → $1.5M total	
M1: SSLC FY2026-27 rev ≥ $5.1M → $200K	SSLC FY27 annual revenue ≥ $5.1M	✓	✓	✓	FY28 Q1 (if verified)
M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines → $200K	Tank set delivered and accepted by IM	—	✓	✓	At customer acceptance
M3: SSLC annual rev ≥ $10M → $250K	SSLC annual revenue ≥ $10M	—	✓	✓	First yr hit (est. FY29)
M4: SSLC annual rev ≥ $20M → $250K	SSLC annual revenue ≥ $20M	—	—	✓	First yr hit (est. FY31)
M5: 50% reduction in tank build cost (dome & build-process automation proven) → $200K	50% cost reduction proven via dome & process automation	—	—	✓	When proven (est. FY27–28)
Exos stock earn-out at RTO listing (additional to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (5-yr, ③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	

Earn-out totals verified: Low $750K+$200K+$0=$950K ✓ Base $1,250K+$650K+$625K=$2,525K ✓ High $1,500K+$1,100K+$1,500K=$4,100K ✓ (each = ③ minus ② = ③ minus $4,860K)

EAI units: $1.0M fixed (~0.59% FD) issued as part of Rule 504 offering at close; part of RTO public float; freely tradeable at listing (no lockup). Earn-out stock (0.0–0.5% additional) at RTO listing. Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'EAI Lockup & Liquidity' and 'Total Compensation' sheets.

3. Key Terms

Term	Detail
Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger
Total commitment	$4,860,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts	Not assumed by Exos; SSLC's own responsibility. Removed from offer 10/10.
SSLC employees	Exos offers employment to SSLC employees on terms no less favorable than current (incl. comp & benefits), subject to Exos hiring policies + confirmatory diligence; key-employee option pool set in the Definitive Agreement
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

Rule 504: $1.0M toward $10M rolling 12-month cap; U.S.-only (Japan round is Reg S — keep distinct). EAI timeline: committed at board acceptance → issued at financing close (Q1 FY27 targeted) → freely tradeable at RTO listing (targeted ~6 mo post-close; not assured). Full detail: model → 'EAI Lockup & Liquidity' sheet.

Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without: sheet 'With vs Without Exos Capital' · Eqvista fairness opinion: engaged 8/14/2026; agreement still unsigned (held ~1 month). Projections are forward-looking (SEC Rule 10b-5 applies); RTO stock projection (mgmt assumption, not a guarantee): see model 'Total Compensation' / 'Returns and Dilution' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09

To: Jim Wertz, Chairman, and the SSLC Board of Directors

From: John M. Quinn, SSLC Director; Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.

Subject: Request for full QuickBooks access: billed-ahead review before close

Jim and members of the Board,

To finalize what SSLC shareholders receive at the acquisition close, we need to resolve the $942,177 shown as "billed ahead of work performed" on SSLC's October 11 balance sheet. I believe that figure does not reflect how SSLC actually starts and bills tanks, and it directly affects the close math. SSLC bills Intuitive Machines about 40% at the start of each tank; we believe those start-billings are not being cleared as tanks ship, which would overstate this balance.

I'm requesting full, read-only QuickBooks Online access for me and Exos's finance reviewer (an all-access user or accountant user, not reports-only), so we can review:

- Invoice and payment detail by customer, with the contract or PO behind each invoice
- Progress/milestone billing and revenue-recognition settings
- Tank start, build-status and delivery dates mapped to each invoice
- Customer deposits ($120,000) and any job or project costing
- The audit log for entries affecting these accounts
- Facility expenses (rent, utilities and similar) since January 2024, including amounts paid on behalf of Microcosm, Inc.
- SSLC’s stock ledger, cap table, subscription agreements and paid-in capital by shareholder (SSLC’s books show $1,014,465 total paid-in capital; we need the per-holder detail to compare each shareholder’s payout at close with what they invested)

As a director I have the right to inspect SSLC's books and records (Cal. Corp. Code § 1602: https://codes.findlaw.com/ca/corporations-code/corp-sect-1602/). This review is also part of the confirmatory diligence contemplated under our May 2025 Asset Acquisition Agreement. All information stays confidential under our July 27, 2021 NDA.

In the interest of full disclosure: with the Board's consent, Exos would also like to use the same books data to evaluate its in-house ERP/MRP and inventory systems against other options for the combined operation. Because these systems are built in-house, they could offer significant savings compared with outside solutions. This use is separate from the review above. It would happen only if the Board agrees, and the data would stay confidential under our NDA.

Could you grant access no later than October 15, 2026? Once the balance is reconciled, I'll share the analysis with the full board so we can agree on the figures at close.

I have also asked the Board to direct SSLC’s accounting firm to correct these accounts within five days.

Thank you,

John M. Quinn

Director, Scorpius Space Launch Company

Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.

Acquisition Due Diligence: Related-Party Accounting Questions

To: SSLC Board of Directors and SSLC's accounting firm (A La Carte Solutions; Singer Lewak / Welch & Co. as applicable)
From: John M. Quinn, SSLC Director; Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.
Date: October 12, 2026
Re: Balances owed to Microcosm, Inc. and Microcosm Astronautics Books: confirmatory diligence for the proposed asset acquisition

As part of Exos's confirmatory diligence, we ask SSLC to document and explain the balances below. These are accounting questions, raised so that every shareholder (including Exos, an 18.06% holder) can rely on the figures used at close. All figures are from SSLC's QuickBooks (Balance Sheet as of 10/11/2026; Transaction Detail by Account, 1/1/2024–10/12/2026). Information stays confidential under the July 27, 2021 NDA.

1. Financial position (per SSLC's books)

Item	Amount
Cash (10/11/2026)	$590,344
AR Unbilled, billed ahead of work (10/11/2026)	($942,177)
Customer deposits	$120,000
Due to Microcosm, Inc. (2385)	$451,429
Notes Payable, Bookstore / Microcosm Astronautics Books (2700)	$320,582
Loan Payable, Wertz (2714)	$92,500
SBA EIDL (2712)	$132,072
Loan Payable, Exos (2720), past due	$31,200 + interest
Total liabilities	$1,296,521
Total paid-in capital (Common $1,010,423 + APIC $4,042)	$1,014,465
Retained earnings / FY27 YTD net income	($2,571,013) / $112,666
Total equity	($1,443,882)
Microcosm receivable (1435) / Loan to Microcosm (1481)	$3,529 / $0

2. Activity with Microcosm entities (per SSLC's books)

- Cash paid by SSLC to Microcosm, Inc. / Microcosm Astronautics Books: $598,794 (2024), $687,286 (2025), $26,136 (2026 YTD).
- Facility costs carried by SSLC (rent, utilities, misc. facilities): $235,037 (2024), $321,547 (2025), $248,553 (2026 YTD), about $805K in total. These were paid through Microcosm invoices through December 2025 and directly to the landlords since January 2026.
- No facility costs are charged back to Microcosm on SSLC's books, although Microcosm continues to occupy and be identified at 3111 Lomita Blvd.
- 4/30/2026 vendor credit: $426,687.03 reclassified from Accounts Payable (Microcosm Inc) to 2385 Due to Microcosm.

- 4/30/2026: $97,301.73 of interest owed to Microcosm Astronautics Books moved into 2700 Notes Payable–Bookstore.
- 4/30/2026: $32,945.99 of 1481 Loan to Microcosm offset against Accounts Payable ('Offset reimbursable against loan').
- 2026 monthly Microcosm invoices booked to 2385 (e.g., "Judy's assistance with SSLC accounting", "AP Paid by Mic"): about $24.7K.

3. Questions for SSLC and its accounting firm

1. Please provide the invoice-level detail (date, invoice number, description, amount, payments applied) supporting the $426,687 reclassified to Due to Microcosm on 4/30/2026, and the full $451,429 balance.

2. What goods or services does each Microcosm invoice represent (rent pass-through, labor, materials, accounting, other)? For any labor, which SSLC jobs did it support?

3. Who approved the 4/30/2026 entries (the $426,687 reclass, the $97,302 interest capitalization, the $32,946 offset)? Please provide any board minutes or written consents authorizing them.

4. What agreement governs Microcosm's use of the shared facility at 3111 Lomita Blvd (lease, sublease, cost-sharing)? What square footage and share does each company occupy, and why is no portion of rent, utilities or facility costs charged to Microcosm?

5. For the ~$1.31M paid to Microcosm entities in 2024–2025: please break it down by category and invoice, and identify any amounts that were Microcosm's own costs.

6. Bookstore note ($320,582): please provide the note, its terms (principal, rate, maturity, security), the borrowing history, and the basis and approval for capitalizing $97,302 of interest.

7. Wertz loan ($92,500): please provide the note, terms and any approvals.

8. Were any of these related-party arrangements disclosed to and approved by the disinterested directors or the shareholders (Cal. Corp. Code §310)? Please provide the records.

9. Are any amounts owed BY Microcosm or Microcosm Astronautics Books TO SSLC (shared costs, reimbursables, the former 1481 loan) that are not booked?

11. Rent split: from January to June 2024 SSLC paid Microcosm $11,470/month, about 50% of the $23,647 facility rent. From July 2024 SSLC paid 100% ($23,647/month, then $24,238 in 2025, then $24,844 paid directly to the landlords in 2026). What changed in July 2024, who approved it, and why is Microcosm's ~50% share (~$316K of rent plus ~$35K of utilities, July 2024–August 2026) not credited against the $451,429 Due to Microcosm? Utilities show the same pattern: about $1,059/month in January–June 2024, then about $2,727/month from July 2024.

12. Loan to Microcosm (1481): SSLC's books show SSLC lent Microcosm $812,699 between 2019 and October 2025 (booked 4/30/2026), then netted it entirely on 4/30/2026 against Microcosm balances ($294,499 Loan Payable–Microcosm; $423,965 pre-6/2025 reimbursables; $61,290 "Judy's time";

$32,946 reimbursable). Please provide the invoices supporting each offset balance, and confirm why $451,429 remains due to Microcosm after SSLC's $812,699 of loans.

13. Please confirm that no related-party debt will be repaid, prepaid or secured before close without disinterested-director approval.

4. Requested documents (by October 15, 2026, with the QuickBooks access request)

- Vendor ledgers and all invoices for Microcosm, Inc. and Microcosm Astronautics Books, Jan 2024 to date
- Leases, subleases and any cost-sharing or services agreements with Microcosm entities
- Notes and loan agreements: Bookstore, Wertz, Microcosm
- Board minutes and resolutions relating to Microcosm/Bookstore transactions and the 4/30/2026 entries
- Stock ledger, cap table and subscription agreements (paid-in capital by shareholder)

These questions are raised as standard acquisition diligence so that the figures used at close are complete and supportable. Once answered, Exos will share its reconciliation with all directors.

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